AMZN

Amazon.com, Inc. (NASDAQ)
As-of: 2026-10-18 | Latest Filing: 10-Q Q2 FY2026 | Currency: USD

$$250.00 [Mkt 18-Oct-26]

Market Cap: $2.70T [Mkt 18-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 72

AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.

2. Recent Trend — 78

AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).

3. Forward Growth — 80

AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.

4. Valuation — 35

DCF base $141.72 vs $250 spot implies 43% downside; even the bull case ($211.05) sits below the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.

5. Catalysts & Risk — 60

Q3 print on Oct 29, 2026 is the near-term test of AWS momentum vs capex. Key risks: $220B AI capex

must earn returns, the FTC ad-pricing lawsuit overhangs the fastest-growing profit pool, and the multiple derates sharply on any guide-down.

Investment Thesis

- **AWS reacceleration is real:** 37% growth, the fastest in 18 quarters, with a $496B backlog that more than doubled and a $100B+ ten-year Anthropic commitment. Compute scarcity reprices the incumbent's fleet higher [Research, Mkt 18-Oct-26].
- **The capex cycle masks the earnings power:** TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin [Mkt 18-Oct-26].
- **The price demands perfection:** Our DCF base is $141.72 vs $250 spot, and even the bull case ($211.05) sits below the price. The market prices ~14% terminal FCF margins; we model 10.5%. Hold, Valuation Concerns [DCF, Mkt 18-Oct-26].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (LTM)	$775.7B [Mkt 18-Oct-26]	+12% FY25 [Mkt 18-Oct-26]	Up
AWS Q2-2026 revenue	$42.2B [Mkt 18-Oct-26]	+37% YoY [Mkt 18-Oct-26]	Up
AWS contracted backlog	$496B [Mkt 18-Oct-26]	More than doubled [Mkt 18-Oct-26]	Up
Operating cash flow (TTM)	$161.4B [Mkt 18-Oct-26]	+33% YoY [Mkt 18-Oct-26]	Up
Free cash flow (TTM)	-$7.6B [Mkt 18-Oct-26]	AI capex cycle [Mkt 18-Oct-26]	Down
Net Debt Position	$66.2B net debt [Mkt 18-Oct-26]	$153.0B debt / $86.8B cash [Mkt 18-Oct-26]	Stable

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	LTM
Revenue ($B)	514.0 [Mkt 18-Oct-26]	574.8 [Mkt 18-Oct-26]	638.0 [Mkt 18-Oct-26]	716.9 [Mkt 18-Oct-26]	775.7 [Mkt 18-Oct-26]
Revenue growth %	9% [Mkt 18-Oct-26]	12% [Mkt 18-Oct-26]	11% [Mkt 18-Oct-26]	12% [Mkt 18-Oct-26]	~8% [Mkt 18-Oct-26]
Operating income ($B)	12.2 [Mkt 18-Oct-26]	36.9 [Mkt 18-Oct-26]	68.6 [Mkt 18-Oct-26]	80.0 [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]
Free cash flow ($B)	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	38.2 [Mkt 18-Oct-26]	11.2 [Mkt 18-Oct-26]	-7.6 [Mkt 18-Oct-26]
AWS revenue growth %	29% [Mkt 18-Oct-26]	13% [Mkt 18-Oct-26]	19% [Mkt 18-Oct-26]	19.7% [Mkt 18-Oct-26]	37% (Q2) [Mkt 18-Oct-26]

Valuation

Absolute (3/10)

DCF Base $141.72 [DCF 18-Oct-26]
DCF Blended $134.46 [DCF 18-Oct-26]
DCF Bull $211.05 [DCF 18-Oct-26]
EV/Revenue (LTM) 3.6x [Mkt 18-Oct-26]

Base case implies 43% downside at $250. Even the bull case sits below spot: the market prices ~14% terminal FCF margins versus our 10.5% base. Valuation is the binding constraint on the rating.

Versus Peers (4/8)

Peer multiples not pulled in this build [N/A]

Absolute DCF is the binding valuation input; the 43% downside to base stands on its own.

Versus History (4/7)

EV/Revenue 3.6x on LTM revenue [Mkt 18-Oct-26]

Multiple sits above the historical range for a retailer but below peak cloud multiples; it prices sustained AWS acceleration plus a full capex normalization.

Top Risk Factors (Item 1A)

1. AI capex ROI: 2026 cash capex guided to $220B (raised from $200B) with TTM FCF at -$7.6B. If AI

Catalyst Timeline

Oct 29, 2026 [Mkt 18-Oct-26]
Q3 earnings. AWS growth rate and the trajectory of 2026 capex ($220B guided) in focus.

Ongoing [Research]
AWS capacity additions vs contracted demand; Trainium and Graviton each past $25B annual run rate.

FY26 [Mkt 18-Oct-26]
FCF normalization path as the AI buildout peaks; FY2025 FCF was $11.2B, TTM is -$7.6B.

What Would Change Our Score

AWS growth holding above 35% with 2026 capex peaking at or below the $220B guide would support a higher target. A capex guide-up paired with AWS decelerating below 25% would break the margin-expansion case and cut the target further.

returns disappoint, the spending is sunk and the multiple compresses. [Mkt 18-Oct-26]

2. Elevated expectations: At $250 the stock prices ~14% terminal FCF margins, well above our 10.5% base case. Any AWS deceleration or margin stall would likely trigger a sharp derating from 3.6x EV/Revenue. [DCF 18-Oct-26]

3. Regulatory overhang: FTC ad-pricing lawsuit alleges inflated seller fees; advertising (+26% YoY, ~$20B/quarter) is the highest-margin growth engine and the case could take years to resolve. [Mkt 18-Oct-26]

Forward Growth Drivers

- AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher. [Research]
- Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers. [Research]
- Advertising $19.8B in Q2, up 26% YoY and outgrowing total sales; the highest-margin growth engine in the portfolio. [Mkt 18-Oct-26]
- Anthropic committed to spend more than $100B with AWS over ten years, locking in contracted demand visibility. [Mkt 18-Oct-26]

Missing / Modified Data Log

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